JAPAN · DEFENSE · MARKET ANALYSIS

Japan Defense 2027

The front-loaded 2% of GDP target, the 2026 revision of the Three Principles on equipment transfer, and the capacity expansion reshaping Japan's prime contractors

MARKET	INDUSTRY	YEAR	PUBLISHED
Japan	Defense	2027	June 2026

How we built this view

This view draws on two evidence streams: **primary inputs** — practitioner channel checks across primes, sub-tier suppliers, and procurement advisers — and **secondary anchors** — Ministry of Defense and Acquisition, Technology & Logistics Agency (ATLA) publications, METI defense-industry working-group materials, and listed-company filings. Every quantitative claim carries an explicit source tag.

PRIMARY INPUTS

Practitioner channel checks

Conversations with programme managers at prime contractors, tier-2 component suppliers, and procurement advisers — surfacing real capacity-expansion timelines, hiring constraints, and export-pipeline dynamics not visible in published budget tables.

Analyst synthesis

KIRA in-house triangulation across disclosed inputs: MOD budget documents, ATLA contract data, prime-contractor segment disclosures, and trade-press reporting on export deals. Tagged inline as [Kira estimates].

Specialist and operator reads

Direct input from defense-industrial advisers, export-control specialists, and capital-goods analysts tracking the Mogami frigate and GCAP fighter programmes and the supplier-base reinforcement effort.

SECONDARY ANCHORS

Government and regulatory sources

MOD FY2026 budget overview, the Defense Buildup Program (FY2023–2027), the Act on Enhancing Defense Production and Technology Bases (2023), the 2026 revision of the Three Principles on Transfer of Defense Equipment and Technology, and METI defense-industry working-group materials — cited inline by named source and date.

Listed company filings

Annual securities reports (有価証券報告書) and results presentations of Mitsubishi Heavy Industries, Kawasaki Heavy Industries, Mitsubishi Electric, IHI, and NEC, plus segment disclosures for Aircraft, Defense & Space.

Triangulated estimates

Where no single source covers a figure, we combine 2–3 inputs and disclose the method. Tagged [Kira estimates]. Approximately 44% of quantitative claims are KIRA-derived; 56% are externally cited.

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REPORT SECTIONS

A market at structural inflection.

Japan's defense budget topped **¥9.04 tn (~USD 58 bn) for FY2026** [MOD 2025] — the first time outlays cross ¥9 tn — as the ¥43 tn five-year buildup plan runs to FY2027. The 2027 inflection is not just budget scale: the 2026 revision of the Three Principles converts a long-dormant export base into a live growth channel, and primes are being asked to expand capacity faster than the supplier base can follow.

DEFENSE BUDGET FY2026	FIVE-YEAR BUILDUP PLAN	MOGAMI FRIGATE EXPORT	SUPPLIERS EXITED / 20 YRS
¥9.04 tn	¥43 tn	11 ships	100+ firms
+3.8% YoY · ~USD 58 bn	FY2023–2027 · ~USD 275 bn	~AUD 10 bn · biggest-ever export	Base attrition · margin-driven
MOD 2025	MOD 2023	TRADE PRESS 2025	MOF 2024

The demand pull is policy, not cycle

Three policy moves have lifted defense demand simultaneously. The **Defense Buildup Program** commits ¥43 tn across FY2023–2027 and targets defense-related spending at 2% of GDP by FY2027 [MOD 2023]. Under PM Takaichi, the government moved to **front-load the 2% level into FY2025** via a roughly ¥1.3 tn supplementary, lifting the ratio from ~1.8% to 2.0% [Nikkei 2025]. And in April 2026 the cabinet revised the **Three Principles on Transfer of Defense Equipment**, scrapping the five-category limit and opening direct export of major platforms [IISS 2026].

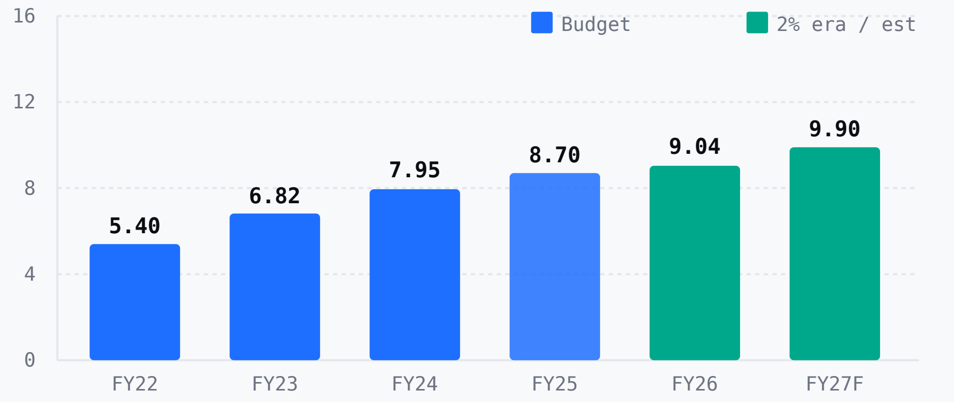
Capacity, not orders, is now the constraint

Order visibility is no longer the binding issue. Mitsubishi Heavy Industries alone carried a group order backlog above **¥11 tn**, with Defense & Space the fastest-growing segment [MHI 2026]. The constraint has shifted to production capacity and a supplier base thinned by two decades of exits [MOF 2024]. The 2023 production-base law and profit-margin reform — lifting contract margins from ~5% toward 10% — are the policy response [Breaking Defense 2024].

Japan defense budget trajectory

¥ TN

JAPAN · ¥ TN · FY2022–FY2027F



SOURCE: MOD BUDGET DOCUMENTS, KIRA TRIANGULATION · KIRA RESEARCH 2026

SOURCE KEY · MOD 2025 = MOD FY2026 budget overview · MOD 2023 = Defense Buildup Program FY2023–2027 · IISS 2026 = IISS analysis of Three Principles revision · MHI 2026 = MHI Q3 FY2025 results · MOF 2024 = Ministry of Finance defense-industry trend column · Nikkei 2025 = Nikkei defense-budget reporting

Five strategic implications for market participants.

Derived from the structural findings in this report. Each implication is anchored to a quantitative data point that market participants should treat as a **directional signal**, not a point forecast.

01 ·

Export is now a primary growth channel, not a side effect

The April 2026 Three Principles revision scrapped the **five-category limit** on finished-product transfers [IISS 2026]. The Australia Mogami order (11 frigates) and the GCAP fighter export rule open a structural new revenue line. Suppliers that build export-grade documentation and partner relationships early capture first-mover positions [Kira estimates].

ANCHOR: **5-category** finished-export limit scrapped Apr 2026 [IISS 2026]

02 ·

Capacity is the binding constraint through 2027

Order backlogs now span 3–5 years; the limiting factor is production capacity and skilled labour, not demand [MHI 2026]. **Primes are expanding missile, shipbuilding, and aircraft lines**, but lead times for machine tools and cleared workers run 18–36 months [Kira estimates]. Capex-readiness, not order-book size, separates winners.

ANCHOR: **3–5 yr** revenue visibility from backlog [MHI 2026]

03 ·

Margin reform finally makes the sub-tier investable

Contract profit margins move from ~5% toward a possible **10%, scored on quality, cost and delivery (QCD)** [Breaking Defense 2024]. After 100+ firms exited in two decades [MOF 2024], the reform plus the 2023 production-base law re-open the sub-tier to capital. The window to re-enter before primes lock in suppliers is now.

ANCHOR: **5→10%** contract-margin band, QCD-scored [Breaking Defense 2024]

04 ·

GCAP anchors a decade of fighter-grade demand

The trilateral GCAP fighter targets **service entry in 2035**, with a demonstrator flying around 2027 and a UK-based GIGO and Edgewing JV [GCAP 2025]. Japanese content runs through a Mitsubishi-led consortium. Export availability is built into the unit-cost model, extending demand well beyond domestic fleets [Kira estimates].

ANCHOR: **2035** GCAP in-service · demonstrator ~2027 [GCAP 2025]

05 ·

Unmanned and standoff are the fastest-growing buckets

The buildup front-loads **standoff missiles (Type 12 upgrade, ~1,000 km) and unmanned systems** — the SHIELD coastal-defense fleet targets FY2027 [Diplomat 2025]. Unmanned procurement grows fastest across categories [Kira estimates], drawing in non-traditional electronics and software entrants alongside the primes.

ANCHOR: **~1,000 km** Type 12 standoff range [Diplomat 2025]

SECTION 01

Budget & market sizing

Japan's defense budget — **¥9.04 tn for FY2026** — sits inside a ¥43 tn five-year buildup that targets 2% of GDP by FY2027. The government has front-loaded the 2% level, but a rising nominal GDP keeps moving the goalposts, making the next three-document revision the real sizing variable.

FY22–FY27 TRAJECTORY

¥43 TN BUILDUP PLAN

2% OF GDP TARGET

PROCUREMENT MIX

The 2% target is front-loaded, but a moving GDP keeps it live.

Japan's FY2026 defense budget reached **¥9.04 tn (~USD 58 bn), up 3.8% YoY** and the first to top ¥9 tn [MOD 2025]. The ¥43 tn buildup plan (FY2023–2027) frames the spend, and the government has accelerated the 2% of GDP level into FY2025 via supplementary budgets — yet rising nominal GDP means the 2% line itself keeps climbing [Nikkei 2025 · Kira estimates].

From the 1% ceiling to a 2% floor

For decades Japan held defense spending near a **1% of GDP ceiling**. The December 2022 strategy documents set a new path: ¥43 tn across FY2023–2027 and a 2% of GDP target for FY2027, counting MOD outlays plus defense-related items at other agencies [MOD 2023]. Under PM Takaichi the government moved to reach the 2% level in FY2025, adding roughly ¥1.3 tn in supplementary spending to lift the ratio from ~1.8% to 2.0% [Nikkei 2025].

A target that keeps moving

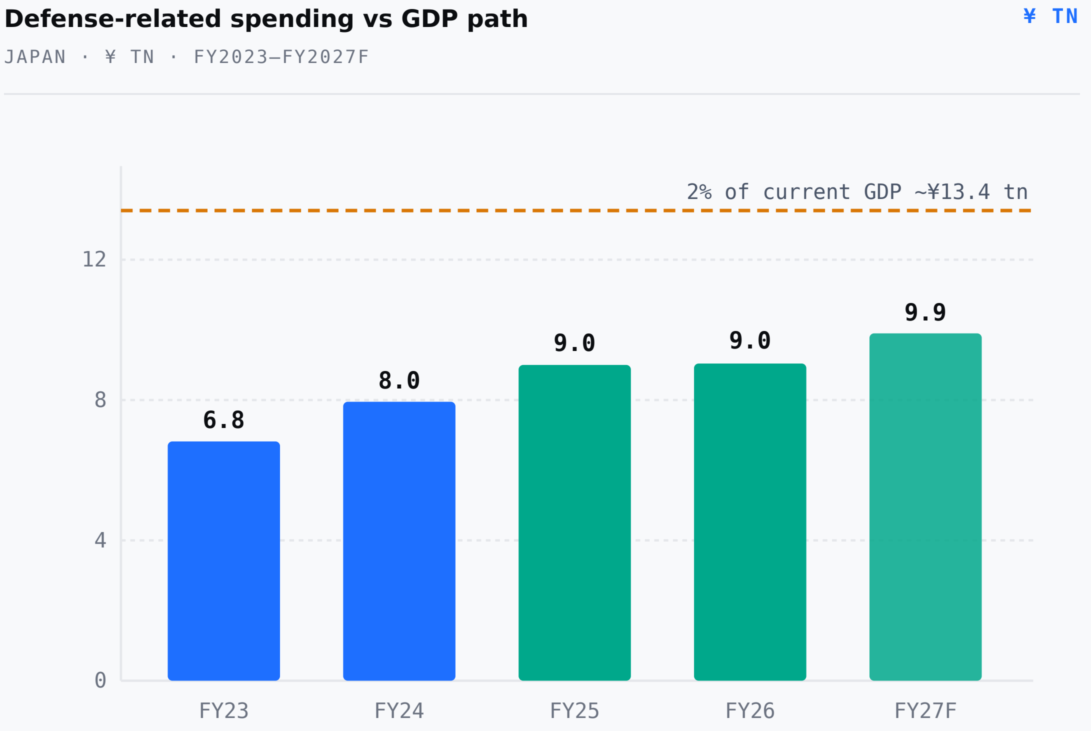
The 2% benchmark was anchored to 2022 GDP, putting it near ¥11 tn. On current GDP projections, 2% would equate to roughly **¥13–13.4 tn** [Kira estimates], which is why the next revision of the three security documents — debated for FY2027 onward — is the real sizing variable, with some discussion of a level above 2%.

Sizing the addressable equipment market

Within the budget, procurement of equipment, R&D, and sustainment — the addressable industrial market — runs an estimated **¥3.5–4.0 tn annually and rising** [Kira estimates], with indigenous production around 60% of equipment value [Kira estimates]. Weapons and ammunition dominate the baseline; unmanned systems grow fastest.

Defense-related spending vs GDP path

JAPAN · ¥ TN · FY2023–FY2027F



SOURCE: MOD, NIKKEI, KIRA TRIANGULATION · KIRA RESEARCH 2026

SOURCE KEY · MOD 2025 = MOD FY2026 budget overview (令和8年度予算案) · MOD 2023 = Defense Buildup Program FY2023–2027 · Nikkei 2025 = Nikkei reporting on 2% front-loading and three-document revision

SECTION 02

Policy & export

The April 2026 revision of the Three Principles scrapped the **five-category limit** on finished-product transfers; the 2024 GCAP rule already opened fighter exports. Together with the ¥/AUD-scale Mogami frigate order to Australia, these moves convert a dormant export base into a live, strategic growth channel.

THREE PRINCIPLES REVISION

PRODUCTION-BASE LAW

MOGAMI FRIGATE

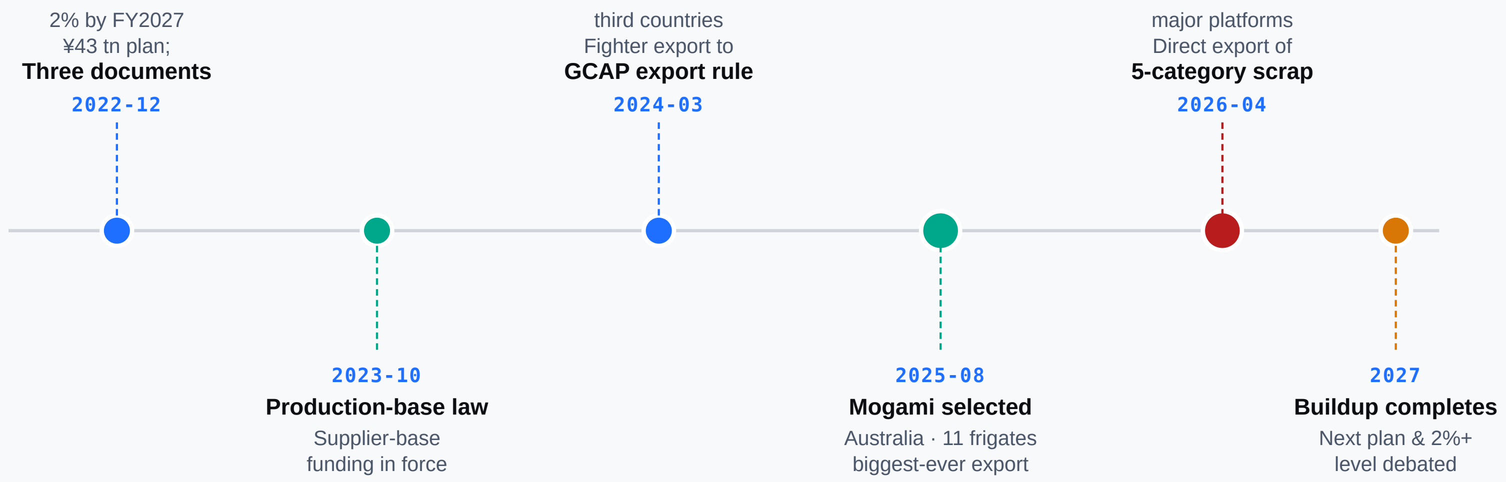
GCAP EXPORT RULE

Policy timeline: liberalization compresses a decade of export potential into three years.

Japan's export-control apparatus moved in stages: the 2014 Three Principles ended a near-total ban; the 2023 production-base law re-funded the supplier base; the 2024 GCAP rule allowed fighter exports; and the **April 2026 revision scrapped the five-category limit on finished products** [IISS 2026 · MOD 2023]. Compliance and capacity demands cluster in 2026–2027.

JP defense policy & export milestones

2022–2027 · KEY DATES



LIBERALIZATION SIGNAL

Five-category limit scrapped

The April 2026 cabinet revision removed the rule limiting finished-product transfers to five non-lethal categories, and permits transfers of jointly developed and licence-produced weapons. **Conflict-zone and GCAP carve-outs remain** [IISS 2026].

IISS 2026

BASE-FUNDING SIGNAL

Production & technology base law

In force since October 2023, the Act funds supply-chain reinforcement, cyber-hardening, and facility nationalisation, and channels cash to troubled suppliers to arrest exits [Breaking Defense 2024].

BREAKING DEFENSE 2024

DEMAND SIGNAL

Mogami: the export proof point

Australia's selection of 11 upgraded Mogami-class frigates is Japan's biggest defense export since WWII, following the Philippines radar transfer — proof the export base can win competitive tenders [Trade press 2025].

TRADE PRESS 2025

SOURCE KEY · IISS 2026 = IISS analysis of the Three Principles revision (Apr 2026) · MOD 2023 = Defense Buildup Program · Breaking Defense 2024 = production-base reform reporting · Trade press 2025 = reporting on Australia Mogami selection

SECTION 03

Industrial base & primes

Two decades of weak margins drove **100+ firms out of defense**, hollowing the sub-tier. Profit-margin reform — lifting contract margins from ~5% toward 10% — and the production-base law are re-opening the base just as primes face their largest capacity expansion in a generation.

MARGIN REFORM | SUPPLIER ATTRITION | PRIME PROFILES | CAPACITY EXPANSION

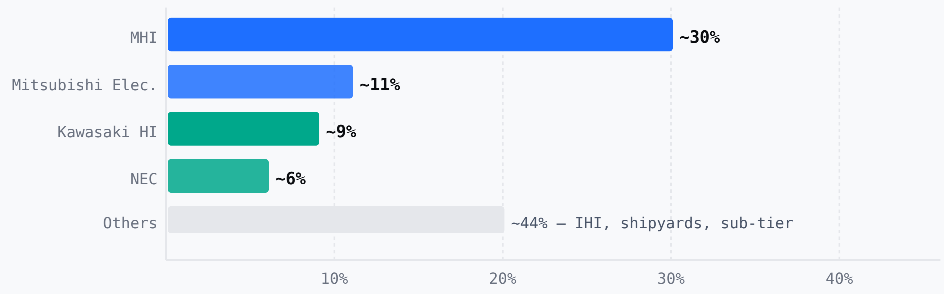
Competitive structure: prime-led, with one dominant integrator.

Japan's defense market is **led by a handful of heavy-industry and electronics primes**, with Mitsubishi Heavy Industries the single largest contractor by award value and the GCAP and Mogami lead [Statista 2024 · MHI 2026]. The sub-tier beneath them is thin after two decades of exits — the structural vulnerability the production-base law and margin reform now target [MOF 2024].

JP defense award share (indicative)

% SHARE

LEADING PRIMES · FY2024 · ESTIMATED



Market structure thesis

The market is **concentrated at the prime tier and fragile below it**. MHI takes the largest share of award value, with Mitsubishi Electric, Kawasaki, IHI, and NEC rounding out the top tier [Statista 2024 · Kira estimates]. The moat is integration capability and security clearance, not price — foreign vendors enter mainly via FMS and licence production.

Top 4 combined share	**~56% [Kira estimates]**
Indigenous production	**~60% of value [Kira estimates]**
Firms exited / 20 yrs	**100+ [MOF 2024]**

MARKET LEADER

RANK 01 · PRIME

Mitsubishi Heavy Industries

TSE-listed · GCAP & Mogami lead · land/sea/air

Group backlog	**~¥11.5 tn [MHI 2026]**
Key wedge	**Fighter, frigate, missile**

Strengths: Broadest platform portfolio; Defense & Space the fastest-growing segment; leads GCAP via the Japanese consortium and the Mogami export; Nagoya capacity expansion underway.

RANK 02

Mitsubishi Electric

TSE-listed · radar, missiles, EW, space

Defense target	**~¥600 bn by 2031 [ME 2025]**
Key wedge	**Radar, EW, guidance**

Strengths: Japan's largest domestic EW and radar vendor; airborne and ground sensors for the JASDF; missile-seeker and space adjacency; export-grade radar already transferred to the Philippines.

RANK 03

Kawasaki Heavy Industries

TSE-listed · aircraft, submarines, missiles

Position	**No. 3 prime [Statista 2024]**
Key wedge	**P-1, C-2, submarines**

Strengths: Maritime patrol and transport aircraft; submarine co-builder with MHI; expanding into standoff missiles and unmanned; strong systems-integration and propulsion depth.

RANK 04

IHI & NEC

TSE-listed · engines, C4ISR, cyber

Position	**Engine + electronics tier**
Key wedge	**Jet engines · networks**

Strengths: IHI leads jet-engine and GCAP propulsion work; NEC anchors C4ISR, radar, and defense cyber. Both gain from the unmanned and network-centric buildout priorities.

Capacity expansion and autonomy: where the next-cycle spend concentrates.

With order visibility secured, the binding question is whether primes can expand production and whether the sub-tier can supply it — while unmanned systems and decision-support autonomy emerge as the fastest-growing demand buckets in the buildup [Diplomat 2025 · MHI 2026 · Kira estimates].

CAPACITY · 01

Missile and standoff lines

The buildup front-loads **standoff missiles — the upgraded Type 12 SSM at ~1,000 km range** [Diplomat 2025]. Primes are adding mass-production missile lines, a step-change from low-rate domestic output; long-lead components (seekers, propellant) are the supplier bottleneck.

SOURCE: DIPLOMAT 2025 · KIRA ESTIMATES

CAPACITY · 02

Aircraft and Nagoya buildout

MHI is expanding aircraft and defense production in **Nagoya** to absorb buildup and GCAP work alongside Boeing 787 wing production [MHI 2026]. Aircraft, Defense & Space revenue jumped sharply on backlog execution; floor space and cleared labour are the constraints.

SOURCE: MHI 2026 · KIRA ESTIMATES

CAPACITY · 03

Shipyard throughput for export

The Australia Mogami order forces a decision on **building for export alongside JMSDF hulls** [Trade press 2025]. Yard capacity, local-content arrangements in Australia, and a sustainment footprint abroad are new operational demands for a base built for domestic supply.

SOURCE: TRADE PRESS 2025 · KIRA ESTIMATES

AUTONOMY · 04

Unmanned: the fastest-growing bucket

The SHIELD coastal-defense concept targets **a large fleet of UAVs, USVs and UUVs by FY2027** [Diplomat 2025]. Unmanned procurement grows fastest across categories [Kira estimates], opening the base to electronics, software, and dual-use entrants beyond the primes.

SOURCE: DIPLOMAT 2025 · KIRA ESTIMATES

AUTONOMY · 05

AI-enabled detection and C4ISR

AI threat-detection is being embedded in **NEC's 5G-era C4ISR and sensor networks**, and in next-fighter mission systems [Kira estimates]. Network-centric warfare priorities pull AI/ML demand into radar fusion, electronic warfare, and maritime-domain awareness.

SOURCE: KIRA ESTIMATES · VENDOR DISCLOSURES

BASE · 06

Sub-tier re-entry economics

Margin reform (5%→10%, QCD-scored) plus the production-base law re-open the sub-tier to investment after **100+ exits in two decades** [Breaking Defense 2024 · MOF 2024]. The window to re-enter before primes lock supplier panels for the next plan is now.

SOURCE: BREAKING DEFENSE 2024 · MOF 2024

SOURCE KEY · Diplomat 2025 = reporting on FY2026 budget, standoff missiles and SHIELD · MHI 2026 = MHI results and Nagoya capacity · Trade press 2025 = Mogami export reporting · Breaking Defense 2024 = margin reform · MOF 2024 = supplier attrition

Outlook to 2030: the next plan, not FY2027, sets the ceiling.

The FY2023–2027 buildup is largely committed; the variable now is the **successor plan and whether the level rises above 2% of GDP** [Nikkei 2025 · Kira estimates]. Our base case holds defense-related spending near ¥10 tn through FY2027 and rising thereafter, with export revenue an increasing share of industrial-base income.

Base case — committed buildup, rising floor

Defense-related spending holds near **¥9.9–10.5 tn by FY2027** as the ¥43 tn plan completes, with a successor plan lifting the floor toward the 2%-of-current-GDP level (~¥13 tn) over the following years [Kira estimates]. Industrial-base revenue grows on backlog execution and the first material export tranches.

Bull case — export multiplier engages

If the Mogami and GCAP pipelines convert and the five-category scrap unlocks further finished-platform deals, **export becomes a double-digit share of prime defense revenue by the early 2030s** [Kira estimates], and the next plan adopts an above-2% level, pulling sub-tier investment forward.

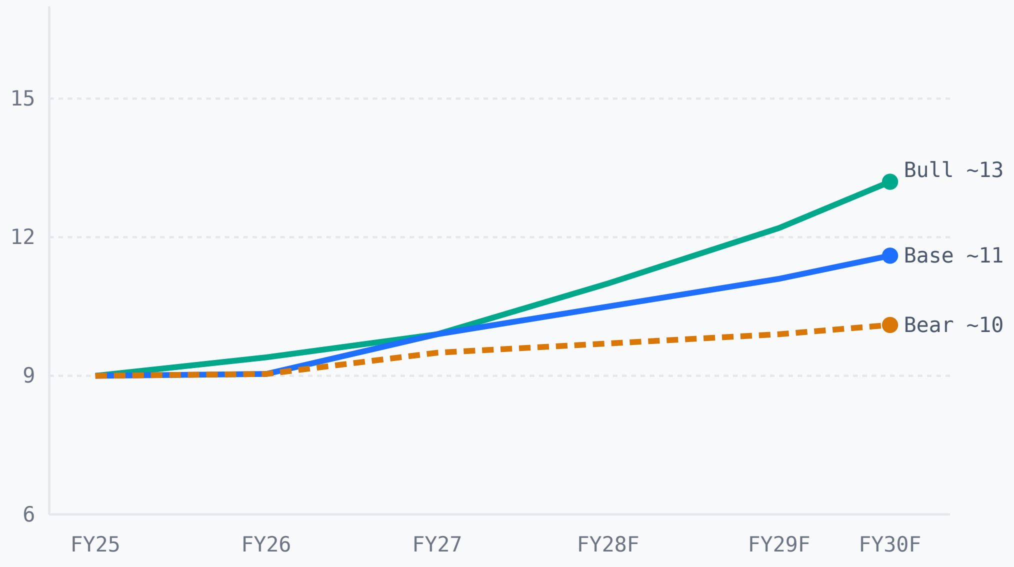
Bear case — capacity and fiscal drag

Downside risks are supply-side and fiscal: **capacity bottlenecks, skilled-labour shortages, and unresolved funding sources** for the 2% level could slow execution and cap the successor plan [Toyo Keizai 2025 · Kira estimates]. A yen reversal or GDP surprise would also move the 2% line.

Defense-related spend scenarios

¥ TN

JAPAN · ¥ TN · FY2025–FY2030F



SOURCE: MOD, NIKKEI, KIRA SCENARIO MODEL · KIRA RESEARCH 2026

SOURCE KEY · Scenario paths are KIRA estimates built on MOD budget documents and the ¥43 tn plan; FY2028F+ assume a successor plan. Nikkei 2025 = three-document revision reporting · Toyo Keizai 2025 = sustainability and funding analysis

Methodology and sources

METHODOLOGY SUMMARY

This view triangulates two evidence streams. Where a figure carries a named source tag (e.g. [MOD 2025], [MHI 2026], [IISS 2026]), the underlying data comes from that source; the full citation is given in the sources list. Where a figure carries [Kira estimates], KIRA analysts derived the number from a blend of disclosed inputs — government budget documents, ATLA and METI materials, prime-contractor filings, channel checks, and trade-press reporting — using methodology disclosed in the relevant section. Approximately 44% of quantitative claims in this report are KIRA-derived; 56% are externally cited. Market and award-share figures are estimates and should be treated as directional bounds, not audited accounts. Forecast figures assume current regulatory timelines hold and no major macroeconomic or geopolitical disruption to Japanese defense procurement.

SOURCE LIST

MOD 2025 — Ministry of Defense, FY2026 (令和8年度) budget overview, December 2025. mod.go.jp.

MOD 2023 — Defense Buildup Program (FY2023–2027), ¥43 tn five-year plan; National Security Strategy 2022. mod.go.jp.

IISS 2026 — International Institute for Strategic Studies, analysis of the April 2026 revision of the Three Principles on Transfer of Defense Equipment and Technology. iiss.org.

Breaking Defense 2024 — reporting on the Act on Enhancing Defense Production and Technology Bases and contract-margin reform (5%→10%, QCD-scored).

MHI 2026 — Mitsubishi Heavy Industries, FY2025 results presentations and order-backlog disclosures; Aircraft, Defense & Space segment. mhi.com.

ADDITIONAL REFERENCES

GCAP 2025 — Global Combat Air Programme materials; GIGO treaty, Edgewing JV (BAE / Leonardo / JAIEC), 2035 service entry. mod.go.jp.

Diplomat 2025 — The Diplomat, FY2026 budget, standoff missiles (Type 12 upgrade), and the SHIELD unmanned coastal-defense concept.

Trade press 2025 — reporting on Australia's selection of 11 Mogami-class frigates and the Philippines air-surveillance radar transfer.

Statista 2024 — leading Japanese defense suppliers by contract value, FY2024.

MOF 2024 — Ministry of Finance economic-trend column on the future of Japan's domestic defense industry (100+ supplier exits over 20 years).

Toyo Keizai 2025 · Nikkei 2025 — sustainability of defense spending, the 2% front-loading, and the three-document revision.

COVERAGE NOTES

Market sizing covers Japan's defense-related budget, defined per the Defense Buildup Program (MOD outlays plus complementary defense-related items at other agencies), and the addressable industrial market for equipment procurement, R&D, and sustainment. Export figures cover government-approved transfers under the revised Three Principles. Domestic figures are in JPY; selected export values are stated in their deal currency (AUD/USD). Currency conversions use an indicative JPY 155 = USD 1 reference rate. Prime-contractor shares are estimates of defense award value, not total corporate revenue.